City Council Report

City Council Meeting: July 14, 2026
Agenda Item: 11.B

To: Mayor and City Council

From: Heidi Von Tongeln, City Attorney, City Attorney's Office, Administration

Subject: Adoption of Resolutions Placing Proposed Ballot Measures Amending Articles XVIII, Rent Control Law, and XXIII, Housing Policies, of the City Charter on the November 3, 2026 Ballot

Recommended Actions

1. Adopt a finding of Categorical Exemption pursuant to Section 15061(b)(3) (common sense exemption) of the California Environmental Quality Act (CEQA) Guidelines; and
2. Per Rent Control Board recommendation and staff recommendation, adopt the attached resolution (Attachment A) placing a measure on the November 3, 2026, ballot that would amend Articles XVIII and XXIII of the City Charter to reaffirm the application of local just cause eviction laws, update term limit provisions for Rent Control Board Commissioners, update and clarify procedures for increasing the maximum annual rent controlled rental unit registration fee, clarify Rent Control Board authority to regulate time limits for deciding individual rent adjustment petitions, and add requirements for owners to evict tenants for non-compliance with affordable housing deed restrictions; and
3. Per Rent Control Board and staff recommendation, adopt the attached resolution (Attachment B) placing a measure on the November 3, 2026 ballot that would amend Articles XVIII and XXIII of the City Charter to prohibit evictions based on non-payment of rent when the tenant owes less than a fair threshold amount of rent; and
4. Per Rent Control Board and staff recommendation, adopt the attached resolution (Attachment C) placing a measure on the November 3, 2026 ballot that would amend Articles XVIII and XXIII of the City Charter to revise requirements for owners to evict tenants for breach of a rental agreement based on the addition of new occupants, revise eviction protections for certain occupants remaining in a rental unit after the original tenant vacates, add just cause eviction protections to single-unit dwellings and condominiums, and modify requirements for good faith owner move in evictions from non-rent controlled rental units; and

5. Authorize City Councilmembers to file written arguments for or against and direct the City Attorney to prepare an impartial analysis for each measure.

Executive Summary

Santa Monicans have voted to enshrine eviction protections for most of the City's renters in the City Charter. In 1979, the voters adopted Article XVIII (Rent Control), which both limits rent increases for rent controlled units and the "just cause" reasons for eviction from rent controlled units. In 2010, the voters passed Measure RR, which amended Article XVIII and adopted Article XXIII (Housing Policies) to effectively extend the just cause eviction protections that already applied to rent controlled properties, to most multi-unit rental properties exempt from Article XVIII—i.e., multi-unit properties built after Article XVIII was adopted. The just cause eviction provisions of both Article XVIII (Section 1806) and Article XXIII (Section 2304) are materially the same in that they prohibit evictions except for the same 9 reasons and Section 1806 allows evictions for one additional reason not applicable to non-rent controlled units. The result is that tenants in multi-unit housing enjoy essentially the same protections from eviction without cause, whether the tenant lives in a rent controlled or non-rent controlled unit.

On January 27, 2026, the City Council directed the City Attorney's Office to return to council with options for ensuring that existing tenancies will not be terminated when certain close family members move into existing tenancies, and directed the City Manager and City Attorney to evaluate additional tenant-stability and anti-displacement tools used in similarly situated jurisdictions. The Council further directed this work to be done in consultation with the Rent Control Agency, understanding that the Charter respects the Rent Control Board's ability to exercise its powers and duties independent of the City Council, City Manager, and City Attorney.

Following a survey of eviction regulations in jurisdictions with strong tenant protections, on May 14, 2026, the City Attorney's Office presented to the Rent Control Board potential amendments to both Articles XVIII and XXIII to expand just cause eviction protections to single-unit dwellings, limit certain existing grounds for eviction, and provide additional tools to ensure deed restricted affordable housing units are utilized by

low-income households who need them. The City Attorney's Office sought feedback from the Board as to each of the proposed eviction protections.

At its June 11, 2026 meeting, the Santa Monica Rent Control Board voted to consider the options presented by the CAO. The Board further voted to recommend that the City Council place on the ballot for the November 3, 2026 general election other amendments to City Charter Article XVIII, as follows:

1) Amend Article XVIII, section 1803(e) to allow Board Commissioners to serve a maximum of three terms and clarify that appointed terms count toward the overall limit and that partial terms of more than two years count as one term;

2) Amend Article XVIII, section 1803(n) regarding registration fees for rent controlled units to clarify that the maximum allowable fee is a cap on the fee amount but not the actual fee, establish annual CPI-based adjustments to the maximum allowable fee beginning in 2028, subject to a five percent annual cap and no annual decreases, and otherwise preserve the Board's discretion to set the registration fee below the cap, and to request and receive funding from other sources when necessary, and preserving landlords' ability to pass-through a portion of the registration fee to tenants; and

3) Amend Article XVIII, section 1805(d)(12) to clarify that Board rules and regulations governing petition processing timelines shall provide for final action on any individual rent adjust petition within 120 days of filing of the petition, allowing for extensions of time for good cause.

(Attachments D, E)

At its June 25, 2026 meeting, the Board voted to recommend that the City Council place additional proposed amendments to Article XVIII on the November 3, 2026 ballot, as follows:

1) Amend Article XVIII, Section 1806(a)(1), to establish a small-rental-debt threshold, based on the average of HUD Small Area Fair Market Rents for equivalent-sized units in residential ZIP Codes located wholly or partially within the City, before nonpayment of rent may serve as a basis to terminate a tenancy;

2) Amend Article XVIII, Section 1806(a)(2), to prohibit terminating a tenancy based on the addition of certain family members, dependents, minor children, and non-family household members, subject to applicable law, affordable housing deed restriction, notice and approval requirements, and occupancy limits;

3) Amend Article XVIII, Section 1806(a) to add just cause grounds for eviction and related notice provisions to address compliance with applicable affordable housing deed restrictions;

4) Amend Article XVIII, Section 1806(c), to prohibit the eviction of certain covered occupants who have resided in a rental unit for at least one year at the time a tenant vacates;

5) Amend Article XVIII, by adding new Section 1822 to include a finding that Article XVIII is more protective than California Civil Code section 1946.2, to support continued application of Section 1806 to rent-controlled tenancies.

(Attachments F, G)

Should Council choose to follow the Rent Control Board's recommendation and adopt a resolution placing the foregoing eviction regulation amendments on the November 2026

ballot, staff recommends that the ballot measure include parallel amendments to Article XXIII, to ensure continued consistency of the City's two just cause eviction laws. Staff further proposes that City Council place before the voters a measure to extend just cause eviction protections, including updated protections for owner move in evictions, to single-unit dwellings in keeping with many other jurisdictions around the state with strong renter protections.

Discussion

Based on the nature of the proposals that have been considered, staff recommends the adoption of 3 resolutions placing 3 separate measures on the November 2026 ballot as follows.

I. <u>Ballot Measure 1 – Administrative Amendments</u>

a. Preservation of Local Just Cause Requirements (Sections 1822 and 2310)

In 2019, the California legislature adopted the Tenant Protection Act ("TPA"), which implemented a version of rent control and just cause eviction protections state-wide, subject to certain exemptions. The just cause eviction provision of TPA, Civil Code section 1946.2, provides that rental units subject to a local law requiring just cause to terminate a tenancy are exempt from Civil Code 1946.2. If the local law is adopted or amended after September 1, 2019, however, the local law applies in place of the TPA only if it is more protective than the TPA.

To be "more protective," all of the following must be satisfied: (1) the local law must include just cause reasons for terminating a tenancy consistent with the TPA; (2) the local law must further limit the reasons for terminating a tenancy, provide for higher relocation assistance amounts, or provide additional tenant protections not prohibited by any other provision of law; and (3) the local government must make a binding finding

within the local just cause eviction law that the it is more protective than the TPA. Civil Code section 1946.2(i)(1)(B).

Accordingly, in order to ensure the continued application of Santa Monica's just cause eviction laws, the Rent Control Board and the CAO recommend that Article XVIII and Article XXIII both be amended to reaffirm that the City's just cause eviction laws are more protective and prevail over state law, consistent with Section 1946.2(i)(1)(B).

b. Rent Control Board Commissioner Term Limits (Section 1803(e))

Article XVIII, Section 1803(e) currently limits Rent Control Board Commissioners to two terms and establishes four-year terms but does not expressly address whether appointed terms count toward that limit. In contrast, the City Charter allows City Councilmembers to serve up to three terms and applies term limits to both elected and appointed service.

The proposed amendment would revise Section 1803(e) to allow Rent Control Board Commissioners to serve a maximum of three terms, whether consecutive or not, and clarify that term limits apply to both elected and appointed terms. The proposed amendment retains the existing term structure while modifying the number of allowable terms and clarifying application to appointed service. Aligning Commissioner term limits promotes consistency across City governance structures and eliminates ambiguity regarding how prior service is counted. This alignment also supports continuity and institutional knowledge while maintaining reasonable limits on tenure.

c. Rent Control Unit Registration Fee Framework (Section 1803(n))

When the Rent Control Charter Amendment was adopted in 1979, it authorized the Board to finance its operations through registration fees sufficient to cover its reasonable and necessary expenses, but did not impose a specific maximum fee. In 2014, the voters approved a Charter

amendment establishing a maximum allowable annual registration fee of $288 per unit and allowing up to fifty percent (50%) of that fee to be passed through to tenants. This change was intended to provide a more stable and predictable funding framework while reducing the risk of recurring disputes over fee adjustments.

The 2014 amendment established the concept of a voter-approved maximum fee but did not provide a mechanism for adjusting that maximum over time, other than through voter approved amendments when the Board's budgetary needs approached the established cap.

The proposed amendment would clarify and structure the Rent Control Board's authority to establish an annual registration fee for controlled rental units, subject to a maximum allowable amount. The Board currently charges an annual registration fee of $240 per unit, below the Charter cap of $288. Key elements of the proposed amendment include:

(1) An initial maximum allowable fee of $288 per unit, which is the current registration fee limit;

(2) CPI-based annual adjustments of maximum allowable fee beginning in 2028, capped at 5% with no decreases;

(3) Clarification that the maximum allowable fee is a cap, not the fee actually charged;

(4) Preservation of landlords' ability to pass through up to 50% of registration fees to tenants, subject to Board regulation; and

(5) Preservation of Board discretion not to charge the maximum allowable fee.

The proposed amendment's CPI-based adjustment mechanism provides a transparent, incremental approach to maintaining the real value of the maximum allowable fee over time, thereby limiting the need for periodic Charter amendments. The proposed amendment is intended to build upon the framework established in 2014 by providing greater clarity, predictability, and long-term stability. By clearly distinguishing between the maximum allowable fee and the fee actually charged, the amendment reinforces that fee-setting remains a policy decision of the Board within voter-established limits. At the same time, the cap on annual increases, the prohibition on decreases, and the preservation of Board discretion provide guardrails and flexibility.

d. Rent Control Board Petition Decision Timeline Clarification (Section 1805(d)(12))

Section 1805(d)(12) directs the Rent Control Board to adopt rules and regulations governing the processing of individual rent adjustment petitions, including provisions addressing the timing of final action. Consistent with this directive, the Rent Control Board has adopted regulations that establish procedures for processing petitions, including timing provisions and mechanisms that allow for additional time where appropriate. These mechanisms are structured and generally tied to specific procedural requirements, including written requests, findings, or party action, and are supported by a showing of good cause. In addition, the regulations allow adjustments to the timing where necessary to accommodate procedural developments, including where parties agree to waive applicable time limits.

The amendment is intended to clarify within the Charter framework by expressly recognizing that the Board's regulations govern both the general timeframe for resolution of petitions and the circumstances under which additional time may be appropriate. This clarification improves transparency regarding how petition timing is administered, while

preserving the Board's authority to adopt and apply regulations governing petition procedures. The change further clarifies the Article XVIII existing structure by expressly recognizing the role of Board-adopted regulations in establishing and administering petition timelines, without altering the Board's existing regulatory framework.

e. Preserving Affordable Housing (Sections 1806(a)(11), (12), and (b); and 2304(a)(10), (11), and (b))

Since 1979, most new affordable rental housing has taken the form of deed restricted affordable housing. However, audit and enforcement efforts by the Housing Division have shown substantial and recurring violations of deed restrictions in the City, including the renting of affordable units to over-income households, households who do not meet minimum occupancy requirements (i.e., one person in a three bedroom unit intended for a low-income household), and other kinds of prohibited tenants including family members of owners and property managers who may have circumvented lengthy affordable housing waitlists.

One recurring challenge is that landlords of deed restricted affordable housing units are generally required to include an affordable housing addendum in their standard lease agreements, which make the following material terms of the tenancy: the tenant qualifying for the unit under the terms of the applicable affordable housing deed restriction and the tenant providing proof of qualification. Despite this requirement, many landlords have failed to include such an addendum, such that over-income or otherwise unqualified households are living in affordable housing units and preventing those units from being rented by eligible moderate- or low-income households who need them. Landlords are often left with no remedy to come into compliance with the deed restriction and provide the bargained-for benefit of the affordable housing unit to the City's residents.

Importantly, when a tenant initially qualified for an affordable unit but subsequently has an increase in income such that they no longer qualify for the unit, the City's Affordable Housing Production Program ("AHPP") Guidelines provide a process for making the unit available to a low- or moderate-income household who needs it without abruptly displacing the existing tenant. The AHPP Guidelines generally provide that a tenant who initially qualified for an affordable unit may remain in the unit even if their income increases to up to 140% of the income limit for the unit; once the tenant's income exceeds 140% of the unit's income limit, if there is another affordable unit at the property at a higher income level for which the tenant qualifies, or an available market rate unit at the property, the tenant will be offered that unit. If the tenant cannot or chooses not to relocate, the tenant will be given a one-year notice to vacate, and will have the right of first refusal to lease any market rate unit at the property that becomes available during that one-year term. The notice to vacate will also be rescinded if during the course of the year, the tenant recertifies their income and demonstrates they qualify again for their unit.

To ensure that affordable housing units remain available to and utilized by those who need them, and to ensure that any necessary displacement of tenants is consistent with applicable guidelines such as those described above, the Rent Control Board and the City Attorney's Office recommend placing amendments to Article XVIII, Section 1806 and Article XXIII, Section 2304 on the November ballot to provide for two additional just cause grounds to terminate a tenancy in a deed restricted affordable housing unit. The amendments would allow a landlord to terminate a tenancy if the tenant does not qualify for the unit under the terms of the deed restriction and the landlord seeks to recover possession in order to comply with the deed restriction, provided the landlord complies with applicable guidelines; and would allow a landlord to terminate a tenancy when a tenant fails or refuses to provide proof of income or other relevant

qualification for an affordable housing unit, where the deed restriction requires the tenant to do so.

The recommended language would further amend Section 1806(b) and 2304(b) to clarify that a landlord's written notice requesting proof of income shall be given a reasonable period of time prior to serving a notice to terminate tenancy and shall notify the tenant that the failure to comply (i.e., by providing the requested information) may result in the initiation of eviction proceedings. This is consistent with warning notice requirements that already apply to other grounds for terminating a tenancy.

II. Ballot Measure 2: Non-Payment Eviction Regulations

a. Prohibiting Evictions Based on Relatively Small Rental Debts (Sections 1806(a)(1) and 2304(a)(1))

All just cause eviction ordinances permit eviction based on a tenant's non-payment of rent, though many ordinances now only prohibit evictions for relatively small rental debts. This protection helps to promote housing stability and prevent homelessness when a tenant experiences a short-term loss of income or increase in expenses and needs time to get back on their feet.

Such short-term economic shocks are not uncommon and they directly impact renters' ability to pay rent. According to the Federal Reserve 2025 Survey of Household Economics and Decisionmaking (SHED), nearly one-third of renters nationwide earning less than $50,000 per year fell behind on rent at some point in the year, and more than 17% of renters earning less than $100,000 per year fell behind on rent at some point in the year.[1]

[1] https://www.federalreserve.gov/publications/2026-economic-well-being-of-us-households-in-2025-housing.htm

The same study found that a majority of adults had at least one major, unexpected expense in the preceding year, such as a major vehicle repair or replacement, house or appliance repair, or medical expense,[2] and over one-third said they would need to borrow money in order to pay an unexpected expense of as little as $400, which takes time.[3] Likewise, when a job loss occurs, according the California Employment Development Department, it takes about three weeks to process a new application for unemployment benefits.[4]

If a tenant who is otherwise current on the rent but experiences such a short-term disruption in income or increase in expenses and misses any portion of a single month's rent payment, current law provides the landlord may serve a three-day notice to pay the defaulted amount, and if the tenant fails to pay it within three business days, the landlord may proceed to evict the tenant.

Locally, approximately 75% of all unlawful detainer (eviction) lawsuits provided to the CAO since 2024 pursuant to Santa Monica Municipal Code section 4.27.060—which requires landlords to email copies of all eviction notices and lawsuits to the CAO but for which there is significant non-compliance—were for non-payment of rent. The amount of rent alleged due in the eviction cases provided to the CAO ranged from as little as $405.67 to as much $96,937, with a median amount of rent alleged due of $6,000 (not accounting for unit size).

Approximately 1,500 additional eviction notices based on non-payment of rent were provided to the CAO from the beginning of 2024 through first 6 months of 2026, which is likely a significant under reporting. The amount

[2] https://www.federalreserve.gov/publications/2026-economic-well-being-of-us-households-in-2025-economic-hardships.htm
[3] https://www.federalreserve.gov/publications/2026-economic-well-being-of-us-households-in-2025-savings-investments.htm
[4] https://edd.ca.gov/en/unemployment/step-6-receive-your-first-payment/

of rent at issue in these notices ranged from as little as $73.87 to $165,000, with a median amount of rent at issue of approximately $3,100. It is unknown how many of these notices may have ripened into an eviction lawsuit, or how many tenants simply moved out after receiving such a notice.

To protect tenants from becoming homeless as a result of short-term financial strain when a tenant owes a relatively small rental debt, the CAO Consumer Protection Division and Rent Control Board recommend amending City Charter Sections 1806(a)(1) and 2304(a)(1) to prohibit terminating a tenancy based on non-payment of rent unless the amount due exceeds a threshold amount.

This amendment would not cancel or waive any rent amount that is unpaid and falls below the threshold, nor would it eliminate any other remedies available to a landlord to recover such debt, such as a small claims court action if appropriate. The amendments would simply provide that a landlord lacks just cause to evict a tenant as a remedy for the tenant owing less than the threshold amount rent.

Other jurisdictions with similar limitations on the right to evict a tenant for non-payment of rent under a threshold amount include the City of Los Angeles, County of Los Angeles (unincorporated), City of Berkeley, and City of Oakland. The City of Los Angeles's ordinance, enacted in 2023, was upheld under state law as a lawful regulation on the substantive grounds for eviction, first by the Los Angeles County Superior Court in 2024 and again by the California Court of Appeal on April 15, 2026, in the case *AAGLA v. City of Los Angeles*, B336071 (LA Sup. Ct. Case No. 23STCP00720).

The jurisdictions that include a similar protection generally set the threshold amount that must be owed for a landlord to have just cause to

evict a tenant at one month's Fair Market Rent ("FMR") for the applicable metropolitan area, as determined annually by the US Department of Housing and Urban Development ("HUD"). The County of Los Angeles is the notable outlier, and has recently amended its ordinance to set the threshold at two months' FMR for the Los Angeles-Long Beach-Glendale Metropolitan Area, based in part on the local emergency declared by the Board of Supervisors related to federal immigration enforcement actions.

FMR refers to an estimate of the 40th percentile gross rent for standard quality units in the applicable metropolitan area. The metropolitan area applicable to Santa Monica (Los Angeles-Long Beach-Glendale) consists of all of Los Angeles County. By contrast, the Small Area Fair Market Rents ("SAFMRs") are also calculated annually by HUD and are based on the 40th percentile gross rent for a ZIP Code. The average of the SAFMRs for the 5 ZIP codes wholly or partially in Santa Monica are approximately 30% higher than the FMRs for the Los Angeles-Long Beach-Glendale Metropolitan Area, as reflected in the chart below:

	Studio	1-bed	2-bed	3-bed	4-bed
FY26 FMR for Los Angeles-Long Beach-Glendale Metro Area	$2,079	$2,328	$2,903	$3,681	$4,098
Average of FY 26 SAFMRs for Santa Monica ZIP Codes	$2,708	$3,034	$3,782	$4,796	$5,338

Therefore, if the eviction threshold were set at one month of FMR for the Los Angeles-Long Beach-Glendale Metropolitan Area, many market rate or close-to-market rate tenants in Santa Monica would still be subject to eviction for missing even less than one month's rent.

In order to more directly respond to rental rates in Santa Monica, the Rent Control Board has recommended setting the threshold amount at one month of the average of the SAFMRs for the 5 ZIP codes wholly or partially in Santa Monica, for an equivalent sized rental unit. The City

Attorney's Office further recommends that this figure be rounded to the nearest dollar. While the individual ZIP code SAFMRS is readily available, the average of the 5 ZIP code SAFMRS is not. If this regulation is adopted, the City would publish this information on the City's website.

III. Proposed Resolution 3: Other Eviction Regulations

a. Prohibiting Evictions Based on the Addition of New Occupants (Sections 1806(a)(2) and 2304(a)(2))

Both Charter Sections 2304(a)(2) and 1806(a)(2) currently prohibit evictions based on a tenant subleasing the unit in violation of the tenant's lease if all of the following conditions are met: (1) the tenant continues to reside in the unit; (2) the sublease replaces a departed tenant under the lease on a one-for-one basis; and (3) the landlord has unreasonably withheld the right to sublease following written request by the tenant, including if the landlord fails to respond to the tenant in writing within 14 days of receipt of the tenant's written request.

While this provision protects tenants from eviction in some cases when new family members or roommates move into the unit, it does not squarely address what happens when a tenant has a family member, friend, or other roommate move in in violation of a provision of the lease prohibiting new occupants or more than a specific number of occupants. Tenants with such lease provisions may want or need family members or roommates to move in to help pay the rent, or for caregiving or other personal reasons, but may be threatened with eviction for doing so.

Since 2024, approximately 20% of all eviction lawsuits emailed to the CAO that were based on an allegation that a tenant breached their lease were based on an allegation that the tenant brought in an additional occupant or sublet the unit. This figure does not include any case in which the tenant was specifically accused renting out the unit on a short term rental

platform like AirBnB, which accounts for nearly half of all lease-violation eviction lawsuits emailed to the CAO.

The Rent Control Board has recommended that Article XVIII, Section 1806(a)(2) be amended to prohibit evictions based on the occupancy of a rental unit by one or more additional persons in excess of the number of persons permitted by the tenant's lease in the following circumstances:

(a) when a specified family member moves in with a tenant, provided the tenant has lived in the unit for at least one year and notifies the landlord who the additional occupant is within 14 days of moving in and that they have a qualifying familial relationship;

(b) when a minor child for whom the tenant, tenant's spouse, or tenant's domestic partner is legally obligated to care for moves in; and

(c) when a non-family member occupant who intends to create a household with the tenant moves in, provided the tenant has lived in the unit for at least one year and gives the landlord notice of the additional non-family member occupant, and the landlord does not unreasonably withhold approval of such person.

In all of these cases, to the extent the additional occupancy is prohibited by an affordable housing deed restriction or other law, including any law limiting the number of occupants in the unit for legitimate health or safety reasons, the tenant would not qualify for the protection from eviction. Finally, the protection from eviction for additional family members and non-family members would apply only to the tenant of the owner; these provisions would not protect a subtenant or other occupant who is not a tenant of the owner of the rental unit from eviction if the subtenant or other occupant brings in additional occupants themselves.

Other jurisdictions in California, including Pasadena, East Palo Alto, Berkeley, Oakland, San Francisco, and West Hollywood, have adopted regulations that prohibit evicting a tenant for moving in additional family members in a similar fashion, and Oakland and San Francisco additionally prohibit evictions based on the addition of non-family household members as is proposed here.

The Rent Control Board's recommendations are also generally consistent with the City Council's January 27, 2026 direction for options to ensure that existing tenancies are not terminated when close family members move into a unit. One difference is that City Council requested options for ensuring that tenancies are not terminated based on the addition of partners, parents, grandparents, children, aunts, uncles, nieces, nephews, or other close family members, and the Rent Control Board's recommended language would not prohibit evictions based on the addition of aunts, uncles, nieces, or nephews. The Rent Control Board received some comments from the public noting that none of the other cited jurisdictions with similar protections specifically protected these additional family members.

The CAO recommends two other minor clarifications to the Rent Control Board's recommended language. First, the CAO's recommended language would provide that a tenant may cure any failure to notify the landlord of an additional family member occupant who moves in by providing that notice upon demand of the landlord. This language would ensure that tenants who failed to provide the required information within 14 days of the family member moving in, which a tenant may not know is a requirement of this law, are not permanently barred from having that family member live in the unit. Second, the added language would make clear that any non-family member additional occupant and the tenant of the owner must mutually intend to form a single household to qualify for

the protection. Finally, the CAO recommends that parallel language be adopted in Article XXIII, Section 2304(a)(2) to protect non-rent controlled tenants.

b. Prohibiting Evictions of Family Members After a Tenant Vacates (Sections 1806(c) and 2304(c))

Current law, Charter Sections 1806(c) and 2304(c), prohibits landlords from evicting certain close family members of a tenant who remain in a unit after the tenant vacates due to death or incapacitation, provided the close family member lived in the unit with the tenant for a year before the tenant died or became incapacitated. The Rent Control Board has recommended amending this provision by:

(1) Broadening the list of occupants protected from eviction to include any remaining occupant who is a dependent of the tenant of the owner, any person who was authorized to reside in the unit pursuant to the provisions of Section 1806(a)(2)(B), (C), or (D) or 2304(a)(2)(B), (C), or (D) described above, any person who was otherwise authorized to reside in the rental unit by law, or any minor dependent of any such person;

(2) Eliminating the requirement that the tenant vacate due to death or incapacity;

(3) Limit the availability of the protection if the occupancy by the remaining occupant is prohibited by an affordable housing deed restriction.

The effect of these amendments would be that any person lawfully residing in a rental unit for at least one year at the time that the tenant of the owner vacates the unit for any reason may remain in the unit, provided

the unit is not a deed restricted affordable housing unit that prohibits the continued occupancy. The latter provision is to ensure that this protection is not a means to circumvent affordable housing waitlists.

c. Extending Just Cause Eviction Protections for Single-Unit Dwellings and Updating Owner Move-In Eviction Regulations (Section 2302 and 2304(a)(8))

Article XXIII as adopted in 2010 applies to residential rental units that are not subject to rent control and are not single-unit dwellings.

In the past several years, many jurisdictions in California have extended just cause eviction protections to most single-unit dwellings, including City of Los Angeles, County of Los Angeles (unincorporated areas), West Hollywood, Culver City, Pasadena, San Francisco, Oakland, Berkeley, Alameda, and East Palo Alto. Notably, some jurisdictions that extend just cause eviction protections to single-unit dwellings do exempt single-unit dwellings by an owner or owner's immediate family member who shares a bathroom or kitchen facilities in common with the tenant. The TPA similarly applies to single-unit dwellings other than those in which the owner-occupant rents no more than two units (including ADUs) or bedrooms, those owned by certain business entities, and those otherwise eligible for exemption but for which the landlord has not served the tenant with a written notice of the exemption.

Should just cause eviction protections be extended to single-unit dwellings, including or limited to condominiums, landlords of such units are much more likely to seek to evict tenants for the owner or owner's relative to move in than are landlords of multi-unit properties that are currently subject to Article XXIII. Section 2304(a)(8) authorizes landlords to terminate tenancies for the owner or family member to move in, subject to certain guardrails to ensure that this authorization is not used to circumvent just cause requirements.

When Section 2304(a)(8) was adopted in 2010, it contained all of the same limitations on owner move-in evictions as the parallel provision of Article XVIII, Section 1806(a)(8). In particular, both provisions required that the owner or qualified relative seeking to move into the rental unit intend in good faith to move into the unit within 30 days after the tenant vacates and to occupy the unit for at least one year, and required that the landlord re-offer the unit to the tenant in the event the landlord or family member failed to move in to the unit within 30 days. These provisions of Article XVIII were amended in 2022 with the adoption of Measure RC, to require that the owner or qualified member who seeks to move into a unit intend in good faith do so within sixty days after the tenant vacates and to occupy the rental unit for at least two years, absent extenuating circumstances, and to provide that an owner must re-offer the unit if the owner or family member fails to occupy the unit for at least two years. No parallel amendment was made to Article XXIII in 2022, but if just cause eviction protections are extended to single family homes, it would be advisable to add the same protections to Article XXIII.

Should the City Council also wish to extend the just cause protections to single-unit dwellings and provide the same level of protection against bad faith owner move in evictions that rent controlled tenants have, it could do so by placing a measure on the November 2026 ballot to amend Article XXIII as set forth in the proposed resolution attached as Attachment C.

IV. Resolution Alternatives

The City Attorney's Office presents three draft resolutions for potential adoption: one to place all Rent Control Board Administrative Items, the affirmation of local just cause eviction laws, and the affordable housing preservation items on the ballot as a single measure; one to place the small rental debt eviction protection on the ballot as a single measure; and one to place protections against eviction based on changes or additions

in occupancy and to expand and update just cause eviction protections with respect to single family homes and owner move-in evictions as a single ballot measure.

As an alternative, Council could provide direction to the City Attorney's Office to return with revised proposed ballot measures that would group the eviction regulations as follows:

Option A

Ballot Measure 1: Eviction Regulations For Existing Occupants:

- Section 1806(a)(1)/2304(a)(1) (small rental debt eviction protection); and
- Section 1806(a)(2)/2304(a)(2) (eviction protection for existing tenants for adding new household members); and
- Section 2302 and 2304(a)(8) (single-unit dwelling and owner move in eviction protections).

Ballot Measure 2: Eviction Regulations For Added Occupants:

- Section 1806(c)/2304(c) (eviction protection for new household members remaining after tenant vacates)

Option B

Ballot Measure 1: Household Sustainability Eviction Regulations

- Section 1806(a)(1)/2304(a)(1) (small rental debt eviction protection); and
- Section 1806(a)(2)/2304(a)(2) (eviction protection for existing tenants for adding new household members).

Ballot Measure 2: Expanded Eviction Protections for Added Occupants and Single-Unit Dwelling Tenants:

- Section 1806(c)/2304(c) (eviction protection for new household members remaining after tenant vacates); and
- Section 2302 and 2304(a)(8) (single-unit dwelling and owner move in eviction protections).

Option C

Ballot Measure 1: All Substantive Eviction Regulations

- Sections 1806(a)(1)/2304(a)(1) (small rental debt eviction protection); and
- Section 1806(a)(2)/2304(a)(2) (eviction protection for existing tenants for adding new household members); and
- Section 2302 and 2304(a)(8) (single-unit dwelling and owner move in eviction protections); and
- Section 1806(c)/2304(c) (eviction protection for new household members remaining after tenant vacates).

Environmental Analysis

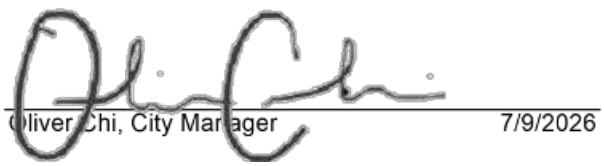
The proposed resolutions and/or ordinance are exempt from the provisions of California Environmental Quality Act (CEQA) pursuant to 15061(b)(3) of the State Implementation Guidelines (common sense exemption). Based on the evidence in the record, it can be seen with certainty that there is no possibility that the proposed resolutions and/or ordinance may have a significant effect on the environment.

Financial Impacts & Budget Actions

Based on past practice, the Rent Control Board would reimburse the City for any additional costs incurred by the City as a result of placing the measures on the November ballot.

Prepared By: Romy Ganschow, Chief Deputy City Attorney

Approved | **Forwarded to Council**



Oliver Chi, City Manager 7/9/2026

Attachments:

A. RESO - Administrative Items Ballot Measure (Arts. XVIII and XXIII) 2026.07.14

B. RESO - Rental Debt Threshold Just Cause Ballot Measure (Arts. XVIII and XXIII) 2026.07.14
C. RESO - Other Eviction Regulations Ballot Measure (Arts. XVIII and XXIII) 2026.07.14
D. Rent Control Board Memorandum - April 9, 2026
E. Rent Control Board Letter to Council re Recommendations - June 16, 2026
F. Rent Control Board Memorandum - June 25, 2026
G. Rent Control Board Letter to Council re Recommendations - June 29, 2026
H. Federal Reserve 2025 SHED Survey - Housing
I. Federal Reserve 2025 SHED Survey - Economic Hardships
J. Federal Reserve 2025 SHED Survey - Savings and Investments
K. CA Employment Development Department - Unemployment Benefits Processing
L. Written Comments
M. PowerPoint Presentation